Fee Structure for Trading on Binance-EX via API

Disclaimer: Fee structures and rules are subject to change. The following information is adapted from Gemini Pro 2.5 and should be verified directly from Binance API documentation.

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1. Spot and Margin Trading

Market Description Trading takes place in spot (real asset) markets. Shorting involves borrowing via Binance's margin system, subject to interest and collateral risks. A margin call triggers forced liquidation of positions to cover outstanding liabilities.

Key Formula:

```
Margin Level = Total Asset Value / (Total Borrowed Value + Total Accrued
Interest)
```

Fee Components:

1.1 Trading Fees

- Applied on every buy and sell order.
- For one round-trip pairs trade, fee applies **four times** (Buy A, Sell B, Sell A, Buy B).
- Standard (VIP 0): **0.10% per transaction**
- With 25% BNB Discount: **0.075%**

1.2 Margin Borrow Interest

- Ongoing cost for holding a short position.
- **Calculated hourly** on borrowed asset value.
- **Variable rate**, depends on market demand.
- **Backtesting Tip:** Use conservative assumptions. If live rates are \~5% annually, model 10% to be safe.

Formula:

```
Hourly Interest Cost = (Borrowed Amount * Asset Price) * (Annual Rate / 365 /
24)
```

1.3 Margin Call Liquidation Fee

- Triggered when Margin Level falls below threshold (e.g., 1.1).
- Binance forcibly liquidates your collateral to repay loan and interest.
- **Penalty Fee:** \~**2%** of liquidated amount.

Operational Risk Note:

- Liquidity and borrow availability may constrain execution.

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2. Perpetual Futures (Perp Futures)

Market Insight Derivatives trading (e.g., HyperLiquid) introduces a different fee structure with distinct Maker and Taker roles.

2.1 Trading Fees

- Each round-trip pair (two legs, in and out) incurs **four trades**.

Role	Fee Rate
Taker	0.045% (with 10% BNB discount)
Maker	0.018% (with 10% BNB discount)

Taker vs. Maker Note:

- Market orders are Takers (higher fee).
- Limit orders are Makers (lower fee).

Example (Taker on \$10,000 Position):

```
Each leg = $10,000 * 0.045% = $4.50
4 legs = $4.50 * 4 = $18.00 total
```

2.2 Funding Rate Payments

- Exchanged every **8 hours** between longs and shorts.

If Funding Rate	Then
Positive	Longs pay Shorts
Negative	Shorts pay Longs

Example (24h Holding):

```
AVAX Long ($10,000 at +0.01%): Pay $3.00
SOL Short ($10,000 at +0.02%): Receive $6.00
Net: +$3.00
```

2.3 Liquidation Fees

- Applied if the margin is insufficient and Binance liquidates your position.
- Typically: **0.5% - 2.0%**
- Represents a final loss beyond position capital.

Strategic Caution:

- Always build safeguards into your strategy to avoid liquidation.
